

ARBITRAL TRIBUNAL
SOLE ARBITRATOR: MR. JUSTICE (RETD.) N. K. VARADACHARI
SEAT OF ARBITRATION: NEW DELHI
ARBITRATION CASE NO. ARB/114/2026

Meridian Infra Projects Limited

... CLAIMANT

VERSUS

Konkast Engineering & Construction Private Limited

... RESPONDENT

STATEMENT OF DEFENCE AND COUNTERCLAIM

A. STATEMENT OF DEFENCE

1. The Respondent admits execution of the EPC Contract dated 20.05.2024 and receipt of the advance of Rs. 3,72,00,000.
2. The Respondent admits that the first two substations were completed and energised by 10.11.2025 and that RA Bills 1 to 4 were certified without demur.
3. As to the third substation, the Respondent states that site access was represented to have been handed over on 05.03.2025, but that land-clearance formalities at the northern boundary of the site remained incomplete well into April 2025, as recorded in the Claimant's own Site Diary (Exhibit C-4), and that the Respondent could not commence excavation and foundation work until those formalities were substantially completed.
4. The Respondent denies that the delay in completion of the third substation is attributable to it and attributes the same instead to the Claimant's delayed and incomplete handover of site access, as more particularly set out in paragraph 3 above.
5. The Respondent states that RA Bill No. 7 was in fact certified for a value of Rs. 92,40,000, and not the lesser figure of Rs. 89,40,000 pleaded in the Statement of Claim, as reflected in the Respondent's own billing working sheet (Annexure R-1).
6. The Respondent denies liability for delay damages under Clause 22 of the Contract and contends that the said clause is in the nature of an unenforceable penalty under Section 74 of the Indian Contract Act, 1872, being a fixed percentage unrelated to any genuine pre-estimate of the Claimant's loss.
7. Without prejudice to the foregoing, the Respondent states that even if Clause 22 were held enforceable, no part of the delay beyond 05.03.2025 is attributable to the Respondent, and any damages computed thereunder must be confined accordingly.
8. By way of counterclaim, the Respondent claims a sum of Rs. 68,00,000 towards additional cable trenching works executed beyond the contracted scope at the Claimant's instance, necessitated by an unforeseen underground utility line discovered during excavation.
9. The Respondent states that the said additional works were directed telephonically by the Claimant's site team on 26.04.2025 and were carried out between 27.04.2025 and 22.05.2025, and that the Respondent's Site Engineer's Memo recording the instruction (Annexure R-3) was prepared contemporaneously with the works.
10. The Respondent states that no separate purchase order or written variation order under Clause 13 of the Contract was issued for the additional works, but contends that the Claimant's site

team's conduct and subsequent acceptance of the completed trenching without objection amounts to a waiver of the requirement of a written variation order in the circumstances.

11. The Respondent denies each and every other allegation made in the Statement of Claim not specifically admitted above as if the same were set out here and denied seriatim.

PRAYER

- a. Dismiss the claim as regards delay damages;
- b. Allow the counterclaim of Rs. 68,00,000 with interest and costs.

VERIFICATION

I, Devika Sane, Director, verify that the contents of this Statement of Defence and Counterclaim are true and correct to my knowledge and belief.

Verified at New Delhi on this the 10th day of January, 2026.

For Konkast Engineering & Construction Private Limited
(Devika Sane, Director)

Ms. Anushka Sagar, Advocate for the Respondent
Enrolment No. DEL/5029/2015

ANNEXURES TO THE STATEMENT OF DEFENCE

Annexure	Description
R-1	Respondent's Internal Certification Working -- RA Bill No. 7
R-2	Extract of Site Diary Entries relied upon (March-April 2025)
R-3	Site Engineer's Memo -- Additional Cable Trenching Works

ANNEXURE R-1

RESPONDENT'S INTERNAL CERTIFICATION WORKING -- RA BILL NO. 7

Maintained by:	Billing Cell, Konkast Engineering
Period:	Month 7 of execution
Respondent's Assessed Value:	Rs. 92,40,000
Basis:	Site measurement sheet prepared by the Respondent's billing engineer, not countersigned by the Claimant's Engineer-in-Charge

This working sheet reflects the Respondent's own internal assessment of the value of work executed under RA Bill No. 7 and is maintained for internal billing purposes. It has not been countersigned by the Claimant's Engineer-in-Charge and differs from the certification register relied upon in the Statement of Claim.

ANNEXURE R-2 -- EXTRACT OF SITE DIARY ENTRIES RELIED UPON

Date	Remarks
05.03.2025	Site access for third substation formally handed over to Contractor's team; no objection raised
17.03.2025	Contractor's mobilisation of heavy equipment yet to commence; land-clearance formalities at nor
29.03.2025	Land-clearance formalities at northern boundary continuing; Contractor's site strength remains
12.04.2025	Land-clearance substantially completed; Contractor commences excavation for the third substation
26.04.2025	Unforeseen underground utility line discovered during excavation; additional trenching discussed

ANNEXURE R-3

SITE ENGINEER'S MEMO -- ADDITIONAL CABLE TRENCHING WORKS

Prepared by: Site Engineer, Konkast Engineering
Date: 26.04.2025
Subject: Record of telephonic instruction for additional cable trenching

This memo records that on 26.04.2025 the Claimant's site team verbally directed additional cable trenching beyond the drawings issued under the Contract, in order to route cabling around an unforeseen underground utility line discovered during excavation. No written variation order was issued by the Owner's Engineer in respect of this instruction. The additional trenching was carried out between 27.04.2025 and 22.05.2025 and is valued internally by the Respondent at Rs. 68,00,000.